

MCQ

- 1 B
- 2 C
- 3 A
- 4 D
- 5 C
- 6 ~~A~~ C
- 7 D
- 8 C
- 9 ~~B~~ A
- 10 D
- 11 B
- 12 A
- 13 C
- 14 A
- 15 A

Particulars

Debit

Credit

1 Bank

To Equity Share Capital

50000

50000

Equity Share Capital (10)

To Equity Share Capital (5)

750000

To Capital reduction

375000

375000

ii 8% Preference Share Capital

To Preference Share Capital 9%

300000

To Capital reduction

275000

75000

iii Preference Dividend

To Equity Share Capital

77000

To Capital reduction

48000

24000

iv 10% Debenture

Trade Payable

250000

Outstanding Interest

50000

Bank

25000

To Mr X

20000

345000

Mr X

345000

To 12% Debenture

345000

v 10% Debenture

Outstanding Interest

~~200000~~
~~20000~~
~~12000~~
~~80000~~
~~12000~~
~~20000~~

To Preference Share Capital

132000

To Capital reduction

88000

	Particulars	Debit	Credit
vi	Dr Capital reduction To Provision on Tax	10000	10000
	Dr Provision on Tax To Bank	110000	110000
vii	Capital Reduction To Inventory To Investment	50000	20000 30000
	Creditor To Inventory	80000	80000
viii	Capital Reduction To Provision on DD To Plant and Machinery	154600	4600 150000
ix	Bank To 12% Debiture	190000	190000
x	Capital Reduction To Goodwill To P&L To Inventory	330000	60000 250000 20000
xi	Capital reserve To Capital reduction	70600	70600
xi	Capital reduction To Capital reserve	317400	17400

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Cost of Capital

Cost of Investment

⑦ 75% Share Capital

4150000

(3750000)

Goodwill

400000

Minority Interest

25% Share Capital

25% Post Acq Reserve

1250000

306250

1536250

Consolidated P&L

Super limited

Clear limited

7575000

918750

(300000)

⑦ Unrealised Profit

3463750

Inventory

Super limited

Clear limited

675000

565000

(300000)

⑦ Unrealised Profit

1210000

Trade Inter Owing

Trade Payable Super

Clear

365000

245000

(146250)

- Inter Owing

463750

Trade Receivable Super

Clear

585000

490000

(146250)

- Inter Owing

928750

Consolidated Balance Sheet

	Notes	Amount
Liability		
Share Hold fund	1	9500000
Share Capital	2	3463750
Reserve & Surplus	3	1556250
Minority Interest		
Non Current Liability		700000
Long term borrowing		
Current Liability	4	4500000
Short Term borrowing	4	463750
Trade Payable		15408750
		16133750

Assets

Non Current Assets		
Plant Property and Equipment		13100000
Non Current Intangible Asset	5	400000
Current Assets		
Inventory	6	1210000
Trade Receivable	6, 7	928750
Cash and Cash Equivalent		495000
		16133750

Notes to Account

1	Equity Share Capital 8000000 @ 10	8000000
	Preference Share Capital 15000 @ 100 each	1500000
2	Reserve Surplus	
	Super limited	2575000
	Clearer limited	918750
	- Unrealised Profit	(300000)
		3463750

3 Minority Interest 1556250

4 Trade Payable
Super limited 365000
Clear limited 245000
Inter Owing (146250)

5 Intangible Asset
- Goodwill 400000

6 Inventory
Super 675000
Clear 565000
- Unrealised Profit (30000)
1210000

7 Trade Receivable
Super 585000
Clear 490000
- Inter Owing (146250)
928750

4a) Net Profit Before Tax	300000
+ Depreciation	750000
+ Discount on issue	450000
+ Interest on Debt	525000
+ Profit on Sale	(300000)
- Interest received	(400000)
Operating Profit before Adjustment	4700000
- Increase in Inventory	(177000)
+ Decrease in Trade receivable	7350
+ Increase in Trade Payable	450
+ Increase in Outstanding Expense	10200
	4041000
- Income Tax Paid	(1575000)
+ Compensation received	135000
Operating Cash flow	2601000

Investing	
Purchase of land	(360000)
+ Interest received	90000

Investing Cash flow ~~54000~~

~~Financing~~ Sale of Investment 480000

Investing Cash flow 534000

Financing	
Redemption of Preference Share	(2362500)
Preference Share Dividend	(225000)
Equity Dividend	(1000000)
Interest on Debt	(525000)
Issue of Equity Shares	6000000
Financing Cash flow	(3512500)
Total Cash flow	(377500)
Opening	3944500
Closing	169500

48) Equity Shares Capital
Proposed Dividend (10%) 500000
last year Avg Dividend (12%) 500000

10% of (Capital + Free Reserve) 750000
Dividend 500000
- P&L (142500)
357500
Minimum Reserve (15% Capital) 750000
Reserve that are Usable 250000
- 750000
1750000

since Dividend is within all 3
limit Dividend at Rate of 10%.
Can use 357500 from General
Reserve

6a) Total Value of stock 133.75 l
Old provision (12 month) 500000
New provision 400000

since New provision is lower amount
Old provision shall be reversed
by 100000 and Value of stock
and gross profit will increase
by 100000

b) Closing Value as FIFO 124000
Closing Value as Weighted avg 115000
9000

Due to change in policy the
profit of Kay Ltd will decrease by

9000. As per AS 1 amount by which financial statement are affected should be disclosed or fact should be disclosed if amount can't be certain

$$6b) \text{ Impairment Loss} = \text{Carrying Value} - \text{Realisable Value}$$

As on	Carrying Value	Realisable Value	Impairment Loss
31 March 21	75 lakh	60 lakh	15 lakh
31 March 22	40 lakh	40 lakh	0 lakh
31 March 23	20 lakh	28 lakh	(8) lakh

$$\text{Depreciation First year} = \frac{10000000}{4} = 2500000$$

$$\text{Second year} = \frac{6000000}{3} = 2000000$$

$$\text{Third year} = \frac{4000000}{2} = 2000000$$

Impairment Loss can't exceed carrying value without impairment

$$\begin{aligned} \text{Third year} &= 25 \text{ lakh} - 20 \text{ lakh} \\ &= 5 \text{ lakh impairment reverse} \end{aligned}$$

As on	Carrying Value before impairment	Impairment Realisable Value	Carrying Value after Impairment
21	75 lakh	15 lakh loss	60 lakh
22	40 lakh	Nil loss	40 lakh
23	20 lakh	5 lakh reverse	25 lakh

- a) Evolution phase out of product line
- b) Shifting from one location to another
- c) Closing of facility for cost saving

- i) loss by fire after balance sheet date is a non adjusting event as prior conditions were not present
- ii) Negotiation starting before balance sheet date do not constitute as conditions in balance sheet before date so non adjusting
- iii) Foreign exchange loss arising after balance sheet date and before approval of board is non adjusting since no condition were existing in balance sheet

4/30) Closing stock = 150000
 Damaged stock included 12000
 Revised NPV (4000)
 2000

Reduction in closing stock = 8000

$$\text{Closing stock} = 150000 - 8000 = 142000$$

16) Specific Borrowing

Actual Interest

- Income

Eligible Interest Cost

16.5

3.5

13.0

Overdraft Interest

$$i \quad \frac{200000 \times 9}{12} \times 15\% = 225000$$

(December strike does not suspend capitalization since Administration work is going on)

$$ii \quad \frac{1400000 \times 1}{12} \times 15\% = 17500$$

$$iii \quad \frac{3000000 \times 1}{12} \times 15\% = 37500$$

Total overdraft interest = 280000

Total Capitalised Interest = 13 crore + 280000
= 13.028 crore